

THE RISE OF THE NATIONAL TRUST CHARTER

Digital Assets, the GENIUS Act, and the Reinvention of the Special-Purpose Bank

[Author Name]¹

DRAFT — FOR DISCUSSION

June 2026

ABSTRACT

In the eighty-three days between December 12, 2025 and early March 2026, the Office of the Comptroller of the Currency (OCC) conditionally approved or received applications for national trust bank charters from at least eleven digital-asset and payments firms—among them Circle, Ripple, Paxos, Fidelity Digital Assets, BitGo, Stripe’s Bridge, Crypto.com, and Morgan Stanley—with Coinbase and the Trump family’s World Liberty Financial close behind. This Article situates that surge within a longer arc: a century-old, sparsely used corner of the National Bank Act; the OCC’s failed 2016–21 effort to charter nondepository “fintech” and crypto banks; and the Guiding and Establishing National Innovation for U.S. Stablecoins Act of 2025 (the GENIUS Act), which supplied the political and statutory accelerant for the present wave. Drawing on the OCC’s chartering decisions, the agency’s February 2026 rulemaking, and comparative financial data, the Article shows that the new trust-charter banks differ from their competitors not in degree but in kind: they take no insured deposits, make no commercial loans, hold no Federal Reserve master account as of right, and operate on capital bases orders of magnitude smaller than the assets they custody or the stablecoins they back. It then identifies a cluster of unresolved legal questions the wave has surfaced—whether a predominantly non-fiduciary firm may hold a charter “limited to...the operations of a trust company,” how that reading fares after *Loper Bright* and the major-questions doctrine, whether a nondepository stablecoin issuer is engaged in the “business of banking,” what becomes of a charter that cannot reach the payment system, and how a failed trust bank would be resolved—and proposes a statutory and regulatory cure: a purpose-built National Payments and Custody Institution charter with tailored prudential standards, mandatory reserve segregation, a defined resolution regime, and conditioned access to central-bank settlement.

¹[Author Name] is [position], [institution]. The author thanks [—] for helpful comments and conversations. This draft reflects publicly available sources through June 2026; all errors are the author’s own.

CONTENTS

Introduction

For most of its 160-year history, the national trust bank was a backwater of American banking law. The charter—authority for a national bank whose operations are “limited to those of a trust company and activities related thereto”²—was the quiet province of a handful of custody and fiduciary institutions whose names rarely reached the front page: the great custodians that safekeep the securities of pension funds and mutual funds, and the wealth managers that administer trusts and estates. As of late 2025, the OCC supervised roughly sixty such national trust banks.³ They were, in the main, sleepy.

They are sleepy no longer. Between the summer of 2025 and the spring of 2026, the national trust charter became the most sought-after instrument in American financial regulation. The catalyst was the enactment in July 2025 of the GENIUS Act,⁴ the first comprehensive federal framework for payment stablecoins, which expressly contemplated that an “uninsured national bank” chartered by the OCC could be approved to issue them.⁵ On December 12, 2025, the OCC conditionally approved five charters in a single day—for Circle’s First National Digital Currency Bank, Ripple National Trust Bank, BitGo Bank & Trust, N.A., Fidelity Digital Assets, N.A., and Paxos Trust Company, N.A.⁶ Within eighty-three days, applications or conditional approvals had

²12 U.S.C. § 27(a).

³See OCC, News Release 2025-125, *OCC Announces Conditional Approvals for Five National Trust Bank Charter Applications* (Dec. 12, 2025) (noting the five new entrants would “join approximately 60 other national trust banks” supervised by the agency), <https://www.occ.gov/news-issuances/news-releases/2025/nr-occ-2025-125.html>.

⁴Guiding and Establishing National Innovation for U.S. Stablecoins Act of 2025, Pub. L. No. 119-27, 139 Stat. 419 (2025) (codified at 12 U.S.C. §§ 5901–5916) [hereinafter GENIUS Act]. The President signed the Act into law on July 18, 2025.

⁵See 12 U.S.C. § 5901(23) (defining “permitted payment stablecoin issuer” to include a “Federal qualified payment stablecoin issuer”); *id.* § 5901(11) (defining the latter to include an uninsured national bank chartered under the National Bank Act and approved by the OCC to issue payment stablecoins); see also Klaros Group, *Did GENIUS Authorize National Payments Banks?* (2026), <https://www.klaros.com/post/did-genius-authorize-national-payments-banks>.

⁶OCC, News Release 2025-125, *supra*. First National Digital Currency Bank and Ripple National Trust Bank were de novo charters; BitGo, Fidelity Digital Assets, and Paxos were conversions of existing state trust companies.

issued for or arrived from at least eleven firms, including Stripe’s Bridge, Crypto.com, Morgan Stanley, Payoneer, and Zerohash, with Coinbase and the Trump-affiliated World Liberty Financial publicly in the queue.⁷ A charter that had drawn perhaps a handful of applicants in a generation drew a dozen in a season.⁸

This Article is about that wave—its provenance, its statistical shape, and the legal questions it leaves in its wake. Three claims organize the analysis. First, the present surge is not, as its boosters sometimes suggest, a natural maturation of crypto into the regulated perimeter; it is the third act of a deliberate, decade-long campaign by the OCC to detach the national bank charter from the deposit-taking franchise that has defined it since 1863.⁹ The first act was the special-purpose “fintech charter” of 2016–20, which the courts left in doubt; the second was the Brooks-era crypto trust banks of 2020–21, which the succeeding OCC largely let wither; the third is the GENIUS-fueled stablecoin wave now underway.

Second, the new entrants differ from the banks and custodians with which they compete not at the margin but categorically. A full-service national bank funds itself with insured deposits, lends, and enjoys access to the Federal Reserve’s discount window and payment rails. A national trust bank, by contrast, takes no deposits, extends no commercial credit, carries no federal deposit insurance, and—as the Custodia litigation has now confirmed—possesses no entitlement to a Federal Reserve master account.¹⁰ It is, in balance-sheet terms, a different animal: where the

⁷See *Eleven Companies, Eighty-Three Days: The Race for a Federal Crypto Banking License*, FinTech Weekly (2026), <https://www.fintechweekly.com/news/occ-national-trust-bank-charter-crypto-fintech-2026>; *infra* Part III.D and Table 4.

⁸See, e.g., FinTech Weekly, *supra*; *infra* Part III.D and Table 4.

⁹The framing of an OCC “campaign” to “unhitch national bank charters from the deposit business” is drawn from Lev Menand & Morgan Ricks, *Federal Corporate Law and the Business of Banking*, 88 U. Chi. L. Rev. 1361 (2021), which anticipated the doctrinal stakes of the present wave.

¹⁰See *Custodia Bank, Inc. v. Federal Reserve Board of Governors*, No. 24-8024 (10th Cir. Oct. 31, 2025) (holding that the Federal Reserve Act and Monetary Control Act vest Reserve Banks with discretion to deny master-account applications from eligible institutions), reh’g en banc denied (10th Cir. Mar. 13, 2026).

incumbent custodians measure assets under custody in the tens of trillions of dollars, the new crypto trust banks measure them in the tens of billions, and capitalize themselves at a few million.¹¹ Whether that is a feature—a narrow, low-risk institution—or a bug—a systemically important payments firm wearing a fiduciary’s clothes—is the central policy question the wave poses.

Third, the wave has surfaced a set of genuinely novel legal questions that neither the GENIUS Act nor the OCC’s 2026 rulemaking has resolved, and that the demise of Chevron deference has only sharpened. May the OCC charter an institution whose business is overwhelmingly non-fiduciary under a statute confining it to “the operations of a trust company”? Is issuing a dollar-pegged token that the issuer promises to redeem at par the “business of banking,” “deposit-taking” by another name, or neither? What is a national bank charter worth if its holder cannot reach the payment system? And how, exactly, would a failed stablecoin trust bank be wound down? Part V takes up these questions; Part VI proposes an answer.

The Article proceeds in six parts. Part I recovers the statutory and historical foundations of the trust charter. Part II recounts the first two acts—the fintech charter and the Brooks-era crypto banks. Part III narrates the current wave: the GENIUS Act, the December 2025 approvals, and the 2026 implementing rules. Part IV offers a statistical portrait of how the new entrants differ from their competitors. Part V identifies the novel questions of law. Part VI proposes a National Payments and Custody Institution charter as a cure. A short conclusion follows.

¹¹ See *infra* Part IV.B–C and Figures 2–3. Circle’s conditional approval set a minimum Tier 1 capital figure of roughly \$6.05 million against a stablecoin franchise backing tens of billions of dollars in USDC.

I. The National Trust Charter in Historical and Statutory Context

To understand why the trust charter has become contested, one must first understand what it is and where it came from. This Part situates the charter within the architecture of the National Bank Act, traces its statutory lineage, describes the modern regulatory framework, and sketches the incumbent ecosystem the new entrants have joined.

A. The National Bank Act and the “Business of Banking”

The national banking system is a Civil War creation. The National Currency Act of 1863 and the National Bank Act of 1864 established a federal charter, a federal supervisor—the Office of the Comptroller of the Currency—and a uniform national currency backed by federal bonds.¹² The statute’s grant of corporate powers, codified at 12 U.S.C. § 24 (Seventh), authorizes a national bank “to exercise...all such incidental powers as shall be necessary to carry on the business of banking,” followed by an enumeration: discounting and negotiating notes, receiving deposits, buying and selling exchange and bullion, lending money on personal security, and issuing circulating notes.¹³ The phrase “business of banking” is the fulcrum on which much of this Article turns.

Two readings of that phrase have long competed. On the OCC’s view, “the business of banking” is a capacious, evolving grant, and the enumerated powers are illustrative rather than exhaustive; the agency may recognize new activities as within “the business of banking” as commerce changes.¹⁴ On the competing view, the enumerated powers fix the core of the franchise, and the touchstone of “banking” is the conjunction of deposit-taking and lending—receiving

¹²National Bank Act, ch. 106, 13 Stat. 99 (1864) (codified as amended in scattered sections of 12 U.S.C.). On the founding design, see generally Peter Conti-Brown & Sean H. Vanatta, *Private Finance, Public Power: A History of Bank Supervision in America* (2025).

¹³12 U.S.C. § 24 (Seventh).

¹⁴This expansive reading was blessed, under the now-defunct Chevron framework, in *NationsBank of N.C., N.A. v. Variable Annuity Life Ins. Co.*, 513 U.S. 251, 258 n.2 (1995) (deferring to the Comptroller’s reasonable interpretation of the bank’s incidental powers).

repayable funds from the public and intermediating them into credit.¹⁵ The deposit-centered reading drew force from the “nonbank bank” episode of the 1980s, when firms exploited a gap in the Bank Holding Company Act’s definition of “bank”—which then required both deposit-taking and commercial lending—to own banks that did one but not the other. Congress closed that loophole in the Competitive Equality Banking Act of 1987,¹⁶ a history the present wave inevitably recalls.

B. The Trust Bank as a Limited-Purpose Charter

National banks have exercised fiduciary powers since the Federal Reserve Act of 1913 authorized the Comptroller to permit them to act as trustee, executor, administrator, and registrar.¹⁷ The distinctively limited-purpose trust *bank*—an institution that does nothing *but* trust and related work—rests on a different provision. Section 27(a) of Title 12 authorizes the Comptroller to charter such an institution and, critically, provides that a national bank “is not illegally constituted solely because its operations are or have been required by the Comptroller of the Currency to be limited to those of a trust company and activities related thereto.”¹⁸ The 1978 amendment was a ratification: it confirmed the legality of charters the Comptroller had already been issuing on a limited basis, putting to rest doubt about whether a “bank” that took no ordinary deposits could be a national bank at all.

¹⁵See Menand & Ricks, *supra*, 88 U. Chi. L. Rev. at 1364–70 (arguing that the corporate-powers clause is part of the bank’s charter, not a regulatory delegation, and must be construed against the corporation); see also Saule T. Omarova, *The Quiet Metamorphosis: How Derivatives Changed the “Business of Banking”*, 63 U. Miami L. Rev. 1041 (2009).

¹⁶Competitive Equality Banking Act of 1987, Pub. L. No. 100-86, 101 Stat. 552 (amending the definition of “bank” in 12 U.S.C. § 1841(c)). The episode is a recurring reference point in debates over whether a charter may be “unbundled” from deposits.

¹⁷The authority now appears at 12 U.S.C. § 92a, which empowers the Comptroller to grant national banks the right to act in fiduciary capacities, subject to state-law parity and OCC regulation.

¹⁸12 U.S.C. § 27(a). Congress added the quoted language in the Financial Institutions Regulatory and Interest Rate Control Act of 1978, Pub. L. No. 95-630, § 1504, 92 Stat. 3641, 3713, confirming the validity of charters the Comptroller had limited to trust operations.

Two features of § 27(a) deserve emphasis, because they frame the legal controversy in Part V. First, the operative limitation is to “the operations of a trust company and activities related thereto.” The reference is to what a *trust company* does—a creature of state law whose defining business is fiduciary. Second, the provision is permissive and protective, not a grant of plenary power: it tells the Comptroller that limiting a charter to trust operations will not render the bank “illegally constituted.” It does not, on its face, license the Comptroller to expand a trust charter into a vehicle for activities that are neither fiduciary nor traditionally “related” to trust work. Whether the GENIUS-era reading honors that limitation, or quietly erases it, is the heart of the matter.

C. The Modern Regulatory Architecture: 12 C.F.R. §§ 5.20 and 9

Two regulatory regimes implement the statute. The OCC’s chartering rule, 12 C.F.R. § 5.20, governs the formation of national banks, including special-purpose banks; its subsection (e)(1) describes the “business of banking” by reference to three core functions—receiving deposits, paying checks, and lending money—and the OCC has historically taken the position that a special-purpose national bank must conduct at least one of them.¹⁹ The OCC’s fiduciary-activities rule, 12 C.F.R. Part 9, governs how national banks exercise trust powers: it defines “fiduciary capacity,” requires the segregation of fiduciary assets, mandates review of fiduciary accounts, and imposes the prudential and conflict-of-interest standards that distinguish fiduciary administration from ordinary commercial dealing.²⁰ The doctrinal point to carry forward is that custody and safekeeping—the bread-and-butter of the new digital-asset trust banks—are not necessarily fiduciary activities at all. The OCC itself treats bare custody as generally non-fiduciary, a

¹⁹12 C.F.R. § 5.20(e)(1). The “at least one core function” gloss featured prominently in the OCC’s defense of its fintech charter. *See infra* Part II.A.

²⁰*See* 12 C.F.R. pt. 9 (fiduciary activities of national banks); *id.* § 9.2 (defining “fiduciary capacity”); *id.* § 9.13 (custody and control of fiduciary assets).

characterization that becomes pivotal once the agency must explain how a custody-and-stablecoin business fits within a “trust” charter.²¹

In December 2003, the OCC reaffirmed its longstanding authority to charter a national bank “limited to the operations of a trust company,” and for two decades the framework was stable.²² The trust charter was a narrow on-ramp for custodians and wealth managers, not a general-purpose alternative to the full-service bank charter. The events of 2020–26 changed that understanding.

D. The Incumbent Trust-Bank Ecosystem

The institutions that have historically held trust and custody charters are, paradoxically, among the largest financial firms in the world—not by balance-sheet assets, but by assets held for others. The Bank of New York Mellon, the world’s largest custodian, safekept roughly \$53 trillion in assets under custody as of early 2025; State Street reported \$53.8 trillion in assets under custody or administration and \$5.7 trillion under management at year-end 2025; Northern Trust reported about \$16.9 trillion under custody or administration.²³ These are intermediaries of staggering reach whose *own* balance sheets are comparatively modest—State Street’s total assets were about \$371 billion and Northern Trust’s about \$156 billion—precisely because the custody model holds client

²¹See OCC, *National Bank Chartering*, 91 Fed. Reg. 9977, 9979 (Mar. 2, 2026) (final rule) (“The OCC considers custody and safekeeping activities to be generally non-fiduciary and authorized for national banks as part of the business of banking.”).

²²See 68 Fed. Reg. 70122 (Dec. 17, 2003); *see also* 12 C.F.R. § 5.20(l) (special provisions for national trust banks). The OCC has consistently asserted authority to charter limited-purpose trust banks under 12 U.S.C. § 27(a) both before and after the 1978 amendment.

²³See BNY, *Annual Report 2025*; State Street Corp., *Fourth-Quarter and Full-Year 2025 Financial Results* (Jan. 2026) (\$53.8 trillion AUC/A; \$5.7 trillion AUM); Northern Trust Corp., *First-Quarter 2025 Results* (\$16.9 trillion AUC/A). *See also* BNY, *Northern Trust Would Have \$70 Trillion in Assets Under Custody*, Pensions & Invs. (June 30, 2025), <https://www.pionline.com/2025/06/30/bank-of-new-york-mellon-northern-trust-would-have-70-trillion-in-assets-under-custody>.

assets off-balance-sheet.²⁴ The custody franchise, in other words, is built on scale, operational reliability, and a century of fiduciary practice—not on the size of the custodian’s capital.

The digital-asset sector the new charters serve is, by comparison, small. The entire market for digital-asset custody was estimated at roughly \$0.65 trillion in 2025; BitGo, among the largest crypto custodians, reported about \$90 billion in assets under custody in mid-2025.²⁵ The contrast—trillions versus billions—matters for two reasons developed below: it bears on whether the new entrants are plausibly “banks” in any systemically meaningful sense, and it frames the question whether the incumbents, newly freed by the 2025 rescission of the SEC’s Staff Accounting Bulletin 121 to custody crypto at scale, will simply absorb the niche the *de novo* trust banks were chartered to fill.²⁶

²⁴State Street Corp., *4Q2025 Results*, *supra* (total assets of approximately \$371 billion); Northern Trust Corp., *1Q2025 Results*, *supra* (total assets of approximately \$156 billion).

²⁵*See Digital Asset Custody Market*, Mordor Intelligence (2025), <https://www.mordorintelligence.com/industry-reports/digital-asset-custody-market> (market sizing); BitGo, *2025 Year in Review* (2026), <https://www.bitgo.com/resources/blog/2025-year-in-review/> (approximately \$90 billion AUC as of July 2025).

²⁶The SEC rescinded Staff Accounting Bulletin No. 121 in January 2025 (SAB 122), removing the balance-sheet treatment that had deterred large banks from offering crypto custody. *See* SEC, Staff Accounting Bulletin No. 122 (Jan. 2025).

II. The First Wave: The Fintech Charter and the Brooks-Era Crypto Trust Banks

The current wave did not appear from nowhere. It is the third iteration of a project the OCC began a decade ago: to make the national charter available to firms that do not take insured deposits. The first iteration—the “fintech charter”—ended in litigation and doubt. The second—the 2020–21 crypto trust banks—ended in retrenchment. Both are essential background to the third.

A. The Special-Purpose National Bank Charter and the Deposit-Taking Wars

In 2016, the OCC proposed to charter financial-technology firms as special-purpose national banks (SPNBs) even though they took no deposits, reasoning that a firm conducting one core banking function—paying checks or lending—could qualify under 12 C.F.R. § 5.20(e)(1).²⁷ State regulators sued. The Conference of State Bank Supervisors and the New York Department of Financial Services each argued that the National Bank Act’s phrase “business of banking” unambiguously requires the receipt of deposits, so that a nondepository charter exceeded the OCC’s authority and trespassed on the dual banking system.

The litigation produced a doctrinal stalemate that still shadows the field. In the New York action, Judge Victor Marrero of the Southern District of New York denied the OCC’s motion to dismiss and declared that “the term ‘business of banking,’ as used in the National Bank Act, unambiguously requires receiving deposits as an aspect of the business.”²⁸ On appeal, however, the Second Circuit—in the same litigation, by then recaptioned *Lacewell v. OCC*—reversed on jurisdictional grounds, holding that the state regulator lacked standing and that the dispute was unripe because the OCC had not actually chartered a nondepository fintech—and pointedly

²⁷See OCC, *Exploring Special Purpose National Bank Charters for Fintech Companies* (Dec. 2016); OCC, *Considering Charter Applications from Financial Technology Companies* (July 2018).

²⁸*Vullo v. OCC*, 378 F. Supp. 3d 271, 297 (S.D.N.Y. 2019) (Marrero, J.) (holding that “the term ‘business of banking,’ as used in the National Bank Act, unambiguously requires receiving deposits as an aspect of the business”). The final judgment and the appeal in the same litigation were later captioned *Lacewell v. OCC*; an earlier challenge to the OCC’s 2016 proposal had been dismissed as unripe.

declined to decide whether “the business of banking” requires deposits.²⁹ The merits question—the very question the present wave reraises—was thus left open: a district court had said deposits are required; a court of appeals had declined to say. The OCC “won” only in the sense that no court had enjoined it.

B. The Interpretive-Letter Campaign

While the fintech charter foundered, the OCC opened a second front. In a rapid series of interpretive letters in 2020 and early 2021, the agency declared a widening set of crypto activities permissible for national banks. Interpretive Letter 1170 (July 2020) confirmed that national banks may provide cryptocurrency custody services;³⁰ Interpretive Letter 1172 (September 2020) authorized banks to hold dollar reserves backing stablecoins;³¹ and Interpretive Letter 1174 (January 2021) blessed the use of distributed ledgers and stablecoins to facilitate payments, analogizing stablecoin transfers to other electronic payment mechanisms.³² The intellectual move in these letters—that issuing or moving a dollar token is a modern form of “paying checks”—would become, four years later, the OCC’s principal theory for fitting stablecoins into the “business of banking.”³³

The campaign briefly stalled. In November 2021, under Acting Comptroller Michael Hsu, the OCC issued Interpretive Letter 1179, which did not repudiate the earlier letters but conditioned the activities they blessed on a bank’s first demonstrating to its supervisory office that it could

²⁹*Lacewell v. OCC*, 999 F.3d 130 (2d Cir. 2021). The parallel CSBS action was likewise dismissed as unripe and for lack of standing. *See Conference of State Bank Supervisors v. OCC*, 313 F. Supp. 3d 285 (D.D.C. 2018).

³⁰OCC Interpretive Letter No. 1170 (July 22, 2020) (crypto-asset custody).

³¹OCC Interpretive Letter No. 1172 (Sept. 21, 2020) (stablecoin reserve deposits).

³²OCC Interpretive Letter No. 1174 (Jan. 4, 2021) (independent node verification networks and stablecoin payment activities); *see also* OCC Interpretive Letter No. 1176 (Jan. 2021).

³³*See* Klaros Group, *supra* (reconstructing the “paying checks” theory from the interpretive letters and 12 C.F.R. § 5.20(e)(1), and from the UCC’s definition of a check as “an order to pay money,” U.C.C. § 3-104).

conduct them safely and obtaining written supervisory non-objection.³⁴ The supervisory-non-objection requirement was a brake, not a reversal; it would itself be removed in early 2025, clearing the runway for the wave that followed.³⁵

C. Anchorage, Protego, and Paxos — and the Hsu Retrenchment

The clearest precedent for the December 2025 approvals came in the winter and spring of 2021, when the OCC—led in its final days by Acting Comptroller Brian Brooks, a former chief legal officer of Coinbase—granted conditional national trust charters to three crypto firms. On January 13, 2021, two days before Brooks left office, the OCC conditionally approved the conversion of Anchorage Trust Company into Anchorage Digital Bank, National Association—the first national trust charter granted to a digital-asset firm.³⁶ On February 5, 2021, the OCC conditionally approved Protego Trust Bank, N.A.; and on April 23, 2021, it granted preliminary conditional approval to the de novo Paxos National Trust.³⁷

Then the wave broke. The Senate Banking Committee’s chairman wrote to Acting Comptroller Hsu expressing concern that the charters had been granted too readily, and Hsu signaled a more cautious posture.³⁸ Of the three 2021 approvals, only Anchorage went on to open and operate as a national trust bank; Protego failed to satisfy the conditions of its approval and the

³⁴OCC Interpretive Letter No. 1179 (Nov. 18, 2021) (requiring supervisory non-objection before a bank engages in the crypto activities addressed in ILs 1170, 1172, and 1174).

³⁵See OCC, News Release 2025-16, *OCC Clarifies Bank Authority to Engage in Certain Cryptocurrency Activities* (Mar. 2025), <https://www.occ.treas.gov/news-issuances/news-releases/2025/nr-occ-2025-16.html> (rescinding the supervisory-non-objection requirement); OCC Bulletin 2025-2 (2025); OCC Interpretive Letter No. 1186 (2025).

³⁶See OCC, Conditional Approval (Jan. 13, 2021) (Anchorage Digital Bank, N.A.). Brooks had publicly encouraged crypto firms to pursue the trust charter as a faster route with comparatively modest requirements.

³⁷See OCC, Conditional Approval (Feb. 5, 2021) (Protego Trust Bank, N.A.) (OCC News Release 2021-19); OCC, Preliminary Conditional Approval (Apr. 23, 2021) (Paxos National Trust).

³⁸Letter from Sen. Sherrod Brown, Chairman, S. Comm. on Banking, Hous. & Urb. Affairs, to Michael Hsu, Acting Comptroller of the Currency (May 20, 2021), <https://www.banking.senate.gov/newsroom/majority/brown-calls-on-occ-acting-comptroller-hsu-to-review-cryptocurrency-bank-charters>.

charter lapsed, and Paxos's preliminary approval likewise expired without consummation.³⁹ The lesson of the first wave was double-edged. It established that the OCC *would* use the trust charter as a crypto on-ramp; but it also showed that, absent political will and a supportive statute, conditional approvals could quietly die on the vine. The GENIUS Act supplied both the will and the statute.

³⁹See *Crypto Bank Protego Didn't Meet All Requirements for National Trust Charter, OCC Says*, Fortune (Mar. 17, 2023), <https://fortune.com/crypto/2023/03/17/crypto-bank-protego-didnt-meet-requirements-for-national-trust-charter-occ-says/>; see also American Bar Ass'n, *Cryptoasset-Related Activities of Banks: An Overview of Trust Charters*, Bus. L. Today (Am. Bar Ass'n Nov. 2022). Paxos re-applied in the 2025 wave. See *infra* Part III.

III. The Second Wave: GENIUS, the December 2025 Approvals, and the Eighty-Three-Day Race

A. The GENIUS Act of 2025

The GENIUS Act, signed on July 18, 2025, is the first federal statute to comprehensively regulate payment stablecoins—privately issued, dollar-pegged tokens designed to trade at par and to be redeemed on demand.⁴⁰ The Act’s architecture is built around the “permitted payment stablecoin issuer,” which it divides into three channels: a subsidiary of an insured depository institution; a “Federal qualified payment stablecoin issuer”—including a nonbank or an uninsured national bank chartered and approved by the OCC; and a “State qualified payment stablecoin issuer” regulated under a state regime certified as substantially similar.⁴¹

Three features of the Act matter for this Article. First, it ties the choice of regulator to size: a state-qualified issuer whose outstanding stablecoins exceed \$10 billion must transition to the federal framework within 360 days, a threshold that pushes the largest issuers toward an OCC charter.⁴² Second, the Act defines a payment stablecoin so that it is *not* a “deposit”—a drafting choice with enormous doctrinal consequence, because it simultaneously keeps issuers outside the deposit-insurance system and complicates the claim that issuing a stablecoin is “deposit-taking.”⁴³ Third, the Act provides that an issuer must hold reserves on at least a one-to-one basis in high-quality liquid assets and addresses the treatment of those reserves in an issuer’s

⁴⁰GENIUS Act, *supra*. For overviews, see Paul Hastings LLP, *The GENIUS Act: A Comprehensive Guide to U.S. Stablecoin Regulation* (2025), <https://www.paulhastings.com/insights/crypto-policy-tracker/the-genius-act-a-comprehensive-guide-to-us-stablecoin-regulation>; Cong. Rsch. Serv., IN12553, *Stablecoin Legislation: An Overview of the GENIUS Act* (2025), <https://www.congress.gov/crs-product/IN12553>.

⁴¹See GENIUS Act § 2 (definitions); CRS, *supra*. The OCC supervises the federal nonbank and uninsured-national-bank channels.

⁴²See GENIUS Act § 4 (state-qualified issuers); CRS, *supra* (describing the \$10 billion threshold and 360-day transition). The threshold creates a one-way ratchet toward federal supervision for successful issuers.

⁴³See 12 U.S.C. § 5901(22) (defining “payment stablecoin”); *id.* § 5901(22)(B)(ii) (providing that a payment stablecoin does not include an instrument that “is a deposit,” thereby separating the two categories). This definitional separation is the statutory hinge of the debate canvassed *infra* Part V.C.

insolvency—provisions that, as Part V.E explains, do considerably less for stablecoin holders than first appears.⁴⁴

B. The December 12, 2025 Approvals

On December 12, 2025, the OCC announced the conditional approval of five national trust bank charters in a single release.⁴⁵ Two were de novo charters—First National Digital Currency Bank, owned by the stablecoin issuer Circle, and Ripple National Trust Bank. Three were conversions of existing state trust companies—BitGo Bank & Trust, N.A.; Fidelity Digital Assets, N.A.; and Paxos Trust Company, N.A. Of the five, BitGo, Fidelity, and Paxos signaled an intent to issue stablecoins; Circle’s USDC would continue to be issued by an affiliate rather than by the trust bank itself, with the bank enhancing oversight of the USDC reserve and offering institutional digital-asset custody.⁴⁶

Comptroller Jonathan V. Gould framed the approvals as a competitive good, stating that “new entrants into the federal banking sector are good for consumers, the banking industry and the economy” and ensure “a dynamic, competitive and diverse banking system.”⁴⁷ The approvals were, by their terms, conditional and preliminary: each was contingent on the satisfaction of customary pre-opening requirements, and the OCC reserved authority to modify, suspend, or rescind the approvals if material changes occurred before the institutions were authorized to

⁴⁴See GENIUS Act § 11 (insolvency treatment of reserves); Adam J. Levitin, *Sorry to Break It to You Geniuses: Under the GENIUS Act the Holders of Stablecoins Actually Have Fifth Priority in an Issuer Bankruptcy*, Credit Slips (Dec. 2, 2025), <https://creditslips.org/2025/12/02/sorry-to-break-it-to-you-geniuses-under-the-genius-act-the-holders-of-stablecoins-actually-have-fifth-priority-in-an-issuer-bankruptcy/>.

⁴⁵OCC, News Release 2025-125, *supra*; see also OCC, Conditional Approval No. 1358 and accompanying decisions (Dec. 2025).

⁴⁶OCC, News Release 2025-125, *supra*; Circle, *Application to Charter First National Digital Currency Bank* (June 30, 2025), <https://www.circle.com/pressroom/circle-applies-for-national-trust-charter>. Circle separately pursued a New York limited-purpose trust company charter for USDC issuance.

⁴⁷OCC, News Release 2025-125, *supra* (statement of Comptroller Jonathan V. Gould).

commence business.⁴⁸ Each institution would operate as an *uninsured* national trust bank, would not accept deposits, and would confine its activities to fiduciary and related trust functions—and, under the OCC’s contemporaneous rulemaking, certain non-fiduciary activities—while remaining under full OCC supervision.⁴⁹ The approvals drew immediate objection from the traditional banking industry, which warned of blurred boundaries and regulatory arbitrage.⁵⁰

C. The 2026 Implementing Rules

Two rulemakings converted the approvals from contested improvisation into settled policy. First, on February 27, 2026, the OCC finalized an amendment to its chartering rule, 12 C.F.R. § 5.20. The final rule replaced the regulation’s references to “fiduciary activities” with the statutory phrase “the operations of a trust company and activities related thereto,” and clarified that a national trust bank may engage in non-fiduciary activities—including custody and, the OCC suggested, stablecoin issuance—in addition to fiduciary ones.⁵¹ The OCC defended the change as a clarification rather than an expansion, asserting that its 2003 framework had been misread and

⁴⁸See Steptoe LLP, *OCC Conditionally Approves Five National Trust Bank Charter Applications* (Dec. 2025), <https://www.steptoelaw.com/en/news-publications/occ-conditionally-approves-five-national-trust-bank-charter-applications.html>; Cadwalader, Wickersham & Taft LLP, *OCC Conditionally Approves Five Crypto-Focused National Trust Bank Charters* (Dec. 18, 2025), <https://www.cadwalader.com/fin-news/index.php?eid=1008&nid=142>.

⁴⁹See Buchanan Ingersoll & Rooney PC, *OCC Grants Conditional Approval to Crypto Firms for National Trust Bank Charters* (Dec. 2025), <https://www.bipc.com/occ-grants-conditional-approval-to-crypto-firms-for-national-trust-bank-charters>; *infra* Part III.C.

⁵⁰The American Bankers Association warned that the expansion “could blur the lines of what it means to be a bank and create opportunities for regulatory arbitrage”; the Bank Policy Institute objected that the approvals left “substantial unanswered questions” about whether the OCC’s requirements were “appropriately tailored to the activities and risks”; and the Independent Community Bankers of America argued that the OCC “lacks statutory authority to expand trust powers.” See Cadwalader, *supra*; ICBA Comment Letter on Proposed National Bank Chartering Rule (Feb. 11, 2026).

⁵¹OCC, *National Bank Chartering*, 91 Fed. Reg. 9977 (Mar. 2, 2026) (final rule; effective Apr. 1, 2026); OCC Bulletin 2026-4. The OCC received nineteen comments, only five of which supported the proposal, and rejected requests for an extended comment period, clearer definitions of permissible non-fiduciary activity, a minimum fiduciary-activity threshold, and a moratorium on applications.

had never barred non-fiduciary activity, and grounding the authority in the business-of-banking clause of 12 U.S.C. § 24 (Seventh).⁵²

Second, the OCC proposed a framework to implement the GENIUS Act’s prudential requirements for stablecoin issuers. The proposal would set tailored, individualized capital minimums during an initial three-year de novo period—subject to a \$5 million floor and keyed to projected cash flows and operating expenses—and would require capital “commensurate with the level and nature of all risks” thereafter, counting only Tier 1 instruments.⁵³ On the asset side, the proposal would require reserves at least equal to outstanding stablecoins, limited to U.S. currency, short-dated Treasury bills, overnight repurchase agreements, and money-market funds, with a weighted-average maturity not exceeding twenty days and a separate liquidity buffer equal to twelve months of operating expenses.⁵⁴

D. The Cascade of Applications

The December approvals did not close the queue; they opened it. In the eighty-three days from December 12, 2025 to early March 2026, the OCC fielded a cascade of filings. Stripe’s stablecoin subsidiary, Bridge, and a second-attempt applicant, Protego, received conditional approvals in February 2026; Crypto.com’s Foris DAX vehicle, which had filed in October 2025, was conditionally approved on February 23, 2026; and Morgan Stanley, Payoneer, and Zerohash

⁵²91 Fed. Reg. at 9979–81. Critics rejoined that the rule’s real effect was to delete the word “fiduciary” and thereby dissolve the only limiting principle in the trust charter. *See infra* Part V.A.

⁵³*See* Davis Polk & Wardwell LLP, *OCC Proposes Regulatory Framework to Implement the GENIUS Act* (2026), <https://www.davispolk.com/insights/client-update/occ-proposes-regulatory-framework-implement-genius-act>; *see also* Davis Wright Tremaine LLP, *OCC Proposes Stablecoin Issuer Regulation, Finalizes Rule on National Trust Banks Authority* (Feb. 2026), <https://www.dwt.com/blogs/financial-services-law-advisor/2026/02/occ-stablecoin-rule-national-trust-banks-powers>.

⁵⁴Davis Polk, *supra*. The proposal offered alternative diversification regimes—a principles-based approach with optional safe harbors, or mandatory quantitative limits—and would require minimum deposits at insured institutions spread across at least two banks.

filed in February and March 2026.⁵⁵ Coinbase and the Trump family’s World Liberty Financial were publicly understood to be in the pipeline.⁵⁶ The entry of a globally systemic incumbent—Morgan Stanley—alongside the crypto-native firms signaled that the trust charter had become a general-purpose vehicle for digital-asset and payments activity, not a crypto curiosity.

Table 4 collects the second-wave applicants. Two patterns stand out. First, the wave mixes *de novo* charters with conversions of state trust companies, the latter allowing applicants to migrate an existing regulated entity into the federal system. Second, a majority of applicants are stablecoin-focused, confirming that the GENIUS Act—not a sudden appetite for traditional fiduciary work—is the wave’s engine.

⁵⁵See FinTech Weekly, *supra*; *Crypto.com Gets OCC’s Conditional Nod for Charter*, Banking Dive (Feb. 2026), <https://www.bankingdive.com/news/crypto-com-occ-conditional-approval-national-trust-bank-charter-circle-ripple-paxos-bridge/812925/>. Morgan Stanley’s vehicle was styled Morgan Stanley Digital Trust, N.A.

⁵⁶See *infra* Part V.G (discussing the World Liberty Financial application and the conflict-of-interest concerns it raises).

IV. How Trust-Charter Banks Differ from Their Competitors: A Statistical Portrait

The descriptive questions at the center of this inquiry—how the new trust-charter banks differ from their competitors, and whether they are bigger or smaller—admit of a clear answer. They differ structurally, not cosmetically; and on every balance-sheet metric except assets-held-for-others potential, they are dramatically smaller. This Part documents both points and the trend across 2021–26.

A. Structural Differences

A national trust bank is defined as much by what it cannot do as by what it can. It does not accept deposits; it does not make commercial loans; it carries no FDIC insurance; and it is supervised by the OCC alone rather than by the OCC and the Federal Reserve. Most consequentially, it holds no Federal Reserve master account as of right—a point the *Custodia* litigation has now placed beyond serious doubt.⁵⁷ Table 1 sets out the structural comparison among a national trust bank, a full-service national bank, and a state trust company.

Table 1. Structural comparison of charter types.

Feature	National trust bank	Full-service national bank	State trust company
Accepts insured deposits	No	Yes	Generally no
FDIC insurance	No (uninsured)	Required	No
Commercial lending	No	Yes	Generally no
Primary regulator	OCC	OCC + Fed (holding co.)	State + (sometimes) Fed
Fed master account	Not as of right	Yes (member/eligible)	Discretionary
Geographic reach	Nationwide; NBA preemption	Nationwide; NBA preemption	State-by-state
Capital basis	Operational/fiduciary risk	Credit + market + op. risk	State trust law

⁵⁷*Custodia Bank, Inc. v. Federal Reserve Bd. of Governors*, No. 24-8024 (10th Cir. Oct. 31, 2025), reh’g en banc denied (Mar. 13, 2026); see also Julie Andersen Hill, *Opening a Federal Reserve Account*, 40 Yale J. on Reg. 453 (2023) (documenting the opacity and discretion of the master-account process).

The preemption column explains much of the charter’s appeal. A state-licensed money transmitter or trust company must qualify, jurisdiction by jurisdiction, under up to fifty state regimes; a national trust bank operates nationwide under a single federal supervisor and the National Bank Act’s preemptive force.⁵⁸ For a stablecoin issuer or digital-asset custodian operating at national scale, the substitution of one federal license for fifty state ones is the charter’s decisive attraction—and the principal reason state regulators see the wave as an existential threat to the dual banking system.

B. The Scale Gap

On size, the contrast is stark. The incumbent custodians safekeep tens of trillions of dollars; the entire digital-asset custody market is measured in hundreds of billions; and individual crypto custodians are measured in tens of billions. Figure 2 plots the comparison on a logarithmic scale—necessary because the largest incumbent custodian is roughly six hundred times the size of the largest crypto custodian.

⁵⁸See Venable LLP, *National Trust Bank Charters: A Strategic Pathway for Fintech, Payments, and Digital Assets* (Jan. 2026), <https://www.venable.com/insights/publications/2026/01/national-trust-bank-charters-a-strategic-pathway>; on preemption generally, see *Watters v. Wachovia Bank, N.A.*, 550 U.S. 1 (2007), and *Cuomo v. Clearing House Ass’n*, 557 U.S. 519 (2009).

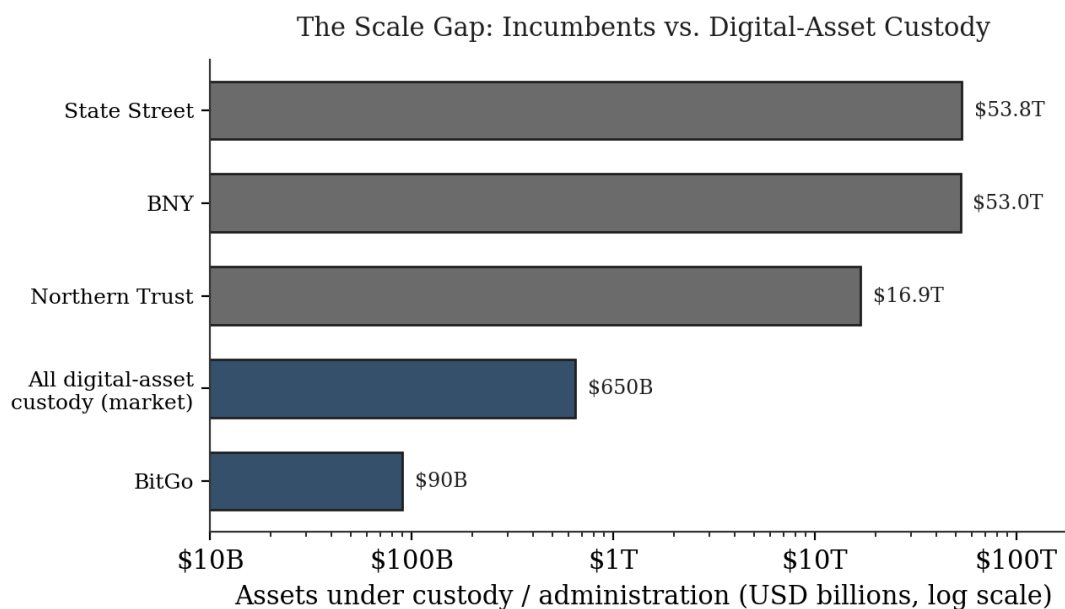


Figure 2. Assets under custody/administration: incumbents vs. the digital-asset sector (log scale). Sources: company filings (2025–26); market sizing.

The point is not that the new entrants are unimportant; it is that their importance, if any, does not lie in their balance sheets. A *de novo* trust bank with a few million dollars of capital and a few billion of assets under custody is not a systemic institution in the way a money-center bank is. Its potential systemic significance arises, instead, from a different channel: the size and runnability of the stablecoin float it backs, and the degree to which that float is interwoven with Treasury markets and the deposit base of the traditional banking system.⁵⁹

C. Capital and the \$6.05 Million Question

Nowhere is the mismatch between form and function clearer than in capital. Circle’s conditional approval reportedly set a minimum Tier 1 capital requirement of approximately \$6.05 million—an amount calibrated, under the OCC’s *de novo* approach, to the bank’s projected

⁵⁹See Gary B. Gorton & Jeffery Y. Zhang, *Taming Wildcat Stablecoins*, 90 U. Chi. L. Rev. 909 (2023) (analogizing stablecoins to pre-Civil War private banknotes and emphasizing their run-prone, no-questions-asked design); Lev Menand, *The Fed Unbound: Central Banking in a Time of Crisis* (2022) (treating stablecoin issuers as shadow banks); see also Hilary J. Allen, *DeFi: Shadow Banking 2.0?*, 64 Wm. & Mary L. Rev. 919 (2023); Bank Policy Inst., *Built on Fault Lines: Four Sources of Instability in Stablecoins* (2025), <https://bpi.com/built-on-fault-lines-four-sources-of-instability-in-stablecoins/>.

operating expenses rather than to the size of the dollar float standing behind its stablecoin.⁶⁰ Against a USDC franchise backing tens of billions of dollars and promising redemption at par, that figure implies a capital-to-reserves ratio on the order of one to ten thousand. Figure 3 depicts the gap.

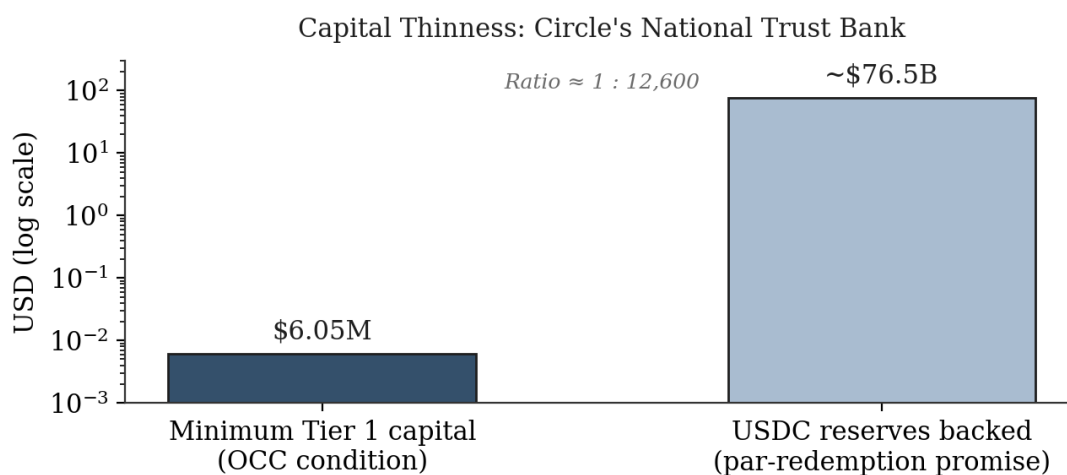


Figure 3. Minimum required capital vs. stablecoin reserves backed, First National Digital Currency Bank (illustrative; log scale). Sources: OCC conditional approval; issuer disclosures.

Defenders respond, fairly, that a custodian or stablecoin issuer is not a lender and bears no credit risk on its reserves, so that traditional risk-weighted capital is the wrong yardstick; the relevant risks are operational, custodial, and run-related, and are better addressed by reserve quality, segregation, and liquidity than by loss-absorbing capital.⁶¹ The rejoinder, developed in Part V.E, is that thin capital plus a par-redemption promise plus an uninsured, run-prone liability is precisely the recipe that produced the March 2023 episode, when USDC briefly broke the buck after Circle disclosed \$3.3 billion of reserves stranded at the failing Silicon Valley Bank, and

⁶⁰See Lee Reiners, *Why the OCC's Stablecoin Charter Push Is Illegal, Dangerous, and Likely to End in Bailouts*, FinReg Blog (Duke Univ.) (May 21, 2026), <https://sites.duke.edu/thefinregblog/2026/05/21/why-the-occs-stablecoin-charter-push-is-illegal-dangerous-and-likely-to-end-in-bailouts/> (reporting the approximately \$6.05 million minimum Tier 1 figure and criticizing it as inadequate).

⁶¹This is, in essence, the premise of the GENIUS Act's reserve-centric design and of the OCC's tailored capital proposal. See Davis Polk, *supra*; cf. Morgan Ricks, *The Money Problem: Rethinking Financial Regulation* (2016) (defending narrow, fully reserved money issuers as a stability-enhancing design).

recovered only after federal authorities invoked the systemic-risk exception to backstop uninsured depositors.⁶²

The capital point generalizes. Table 2 places the new stablecoin trust banks alongside their two nearest reference points—the full-service insured bank they are often loosely analogized to, and a fully-reserved state-issued token, the Wyoming Frontier Stable Token (FRNT), the first stablecoin issued by a U.S. public instrumentality. The comparison shows that the trust-bank issuer is, on the dimensions that matter for stability and resolution, closer to the state token than to the bank—yet it is the bank label, and the bank charter, that it has been given.⁶³

Table 2. Capital, reserve, and resolution profiles across three issuer models.

Dimension	National trust bank (stablecoin issuer)	Full-service insured bank	State-issued token (Wyoming FRNT)
Reserve / asset backing	1:1 HQLA reserves (T-bills, repo, MMF)	Fractional; loans funded by deposits	1:1 cash + T-bills $\leq 365d$ + repo $\leq 30d$
Loss-absorbing capital	Thin; ~\$5–6M floor, tailored to expenses	Risk-based + leverage ratios (Basel III)	State instrumentality; $\geq 100\%$ over-collateralized
Deposit insurance	None (uninsured)	FDIC-insured	None; special obligation of the State
Custody of reserves	May self-custody	On balance sheet	Independent custodian (FTCI; BNY sub-custodian)
Redemption	Par, on demand (issuer promise)	Par deposits on demand	1:1 USD on demand (by statute)
Resolution regime	OCC receivership (untested)	FDIC resolution	Trust assets only; no state full faith & credit
Primary oversight	OCC	OCC / Federal Reserve / FDIC	Wyo. Stable Token Commission

⁶²See Reiners, *supra* (recounting the March 2023 USDC de-pegging to approximately \$0.87 and the role of the systemic-risk exception); see also Arthur E. Wilmarth, Jr., *It's Time to Regulate Stablecoins as Deposits and Require Their Issuers to Be FDIC-Insured Banks*, 41 Banking & Fin. Servs. Pol'y Rep., No. 2, at 1 (Feb. 2022).

⁶³On FRNT, see Wyo. Stable Token Comm'n, *Examination of Management Assertions over Frontier Stable Token (FRNT)* (as of Jan. 30, 2026) (independent accountant's report of The Network Firm LLP, Feb. 9, 2026) (reporting FRNT in circulation and segregated reserves held at Fiduciary Trust Company International, with BNY as sub-custodian); *Wyoming Launches First State-Issued Stable Token*, Nat'l L. Rev. (Aug. 2025), <https://natlawreview.com/article/wyoming-launches-first-state-issued-stable-token>. FRNT reserves are statutorily limited to cash, U.S. Treasury securities maturing within 365 days, and repurchase agreements with terms of 30 days or less, and are redeemable one-for-one for U.S. dollars. See Wyo. Stat. Ann. §§ 40-31-106 to -107.

D. Trends, 2021–2026

The trend across the period is one of punctuated acceleration. The first wave (2021) produced three conditional approvals, of which only one—Anchorage—matured into an operating institution. The second wave produced five conditional approvals in a single December 2025 day, followed by at least four more in the first quarter of 2026. Figure 1 charts the approvals by year, Figure 4 traces their cumulative acceleration after the GENIUS Act, and Table 3 (the first-wave ledger) and Table 4 (the second-wave ledger) supply the detail.

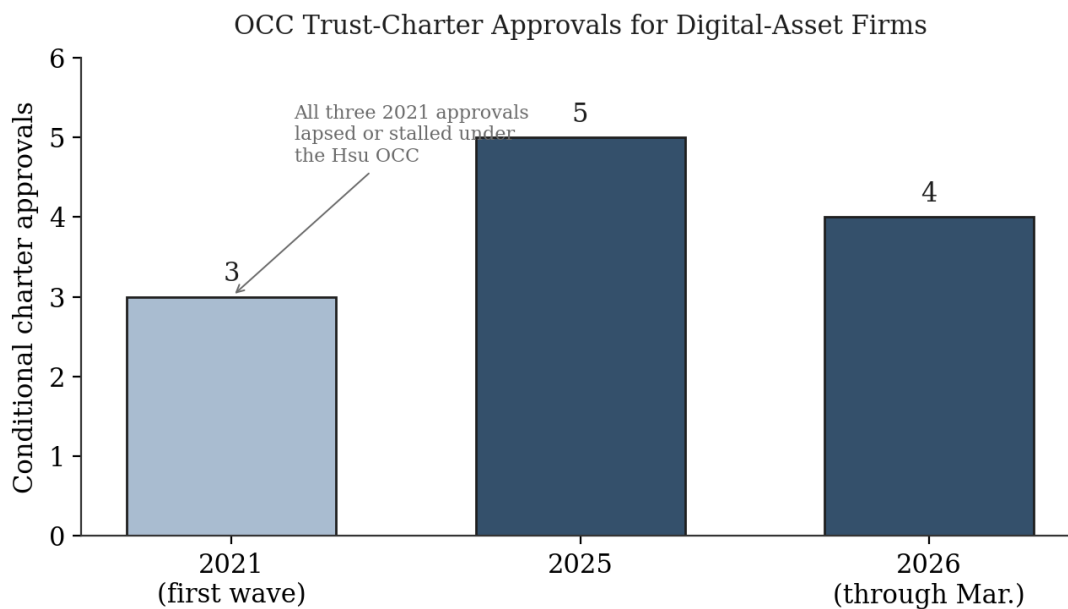


Figure 1. OCC national trust charter conditional approvals for digital-asset firms, by year. Source: OCC decisions (2021, 2025–26).

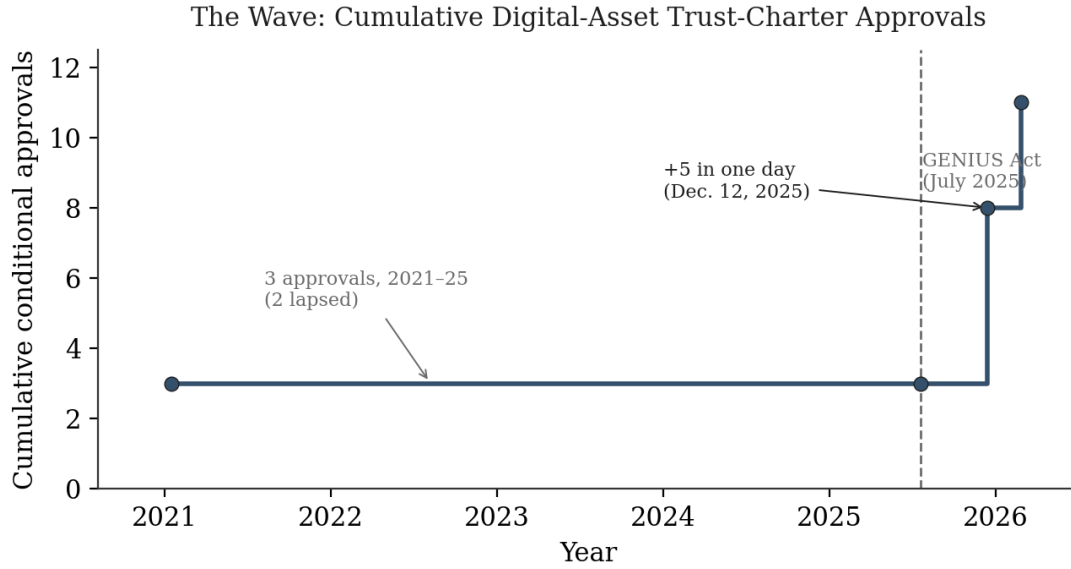


Figure 4. Cumulative conditional approvals, 2021–Q1 2026, showing the post-GENIUS acceleration. Source: OCC decisions.

Table 3. The first wave (2021).

Firm	Charter type	OCC action and date	Status
Anchorage Digital Bank, N.A.	Conversion	Conditional approval, Jan. 13, 2021	Opened; operating
Protego Trust Bank, N.A.	Conversion	Conditional approval, Feb. 5, 2021	Lapsed (conditions unmet)
Paxos National Trust	De novo	Preliminary conditional, Apr. 23, 2021	Expired; re-applied 2025

Table 4. The second wave (2025–26).

Firm / proposed bank	Type	Filed	OCC action	Stablecoin focus
First National Digital Currency Bank (Circle)	De novo	June 30, 2025	Cond. approval Dec. 12, 2025	Reserve/custody (USDC via affiliate)
Ripple National Trust Bank	De novo	2025	Cond. approval Dec. 12, 2025	Custody; RLUSD-adjacent
BitGo Bank & Trust, N.A.	Conversion	2025	Cond. approval Dec. 12, 2025	Yes
Fidelity Digital Assets, N.A.	Conversion	2025	Cond. approval Dec. 12, 2025	Yes
Paxos Trust Company, N.A.	Conversion	2025	Cond. approval Dec. 12, 2025	Yes
Bridge (Stripe)	De novo	2025–26	Cond. approval Feb. 2026	Yes
Protego Trust Bank, N.A.	Conversion	Re-filed	Cond. approval early 2026	Custody

Firm / proposed bank	Type	Filed	OCC action	Stablecoin focus
Crypto.com (Foris DAX)	De novo	Oct. 2025	Cond. approval Feb. 23, 2026	Custody/payments
Morgan Stanley Digital Trust, N.A.	De novo	Feb. 18, 2026	Pending	Custody
Payoneer	De novo	Feb. 24, 2026	Pending	Payments
Zerohash	De novo	Mar. 4, 2026	Pending	Infrastructure/stablecoin
Coinbase	—	Reported	Pending	Custody
World Liberty Financial	—	Jan. 2026	Pending (contested)	Stablecoin (USD1)

Read together, the figures and tables tell a coherent story. The charter that produced one durable crypto bank in 2021 produced, in the span of a season, a roster that includes two of the largest stablecoin issuers in the world, a flagship payments company, and a globally systemic investment bank. The wave is real, it is accelerating, and it is increasingly populated by firms whose failure would not be a local event.⁶⁴

⁶⁴On the policy stakes of mainstreaming stablecoins through the banking perimeter, see Brookings Inst., *Next Steps for GENIUS Payment Stablecoins* (2026), <https://www.brookings.edu/articles/next-steps-for-genius-payment-stablecoins/>; on the broader fintech-stability concern, see Hilary J. Allen, *Driverless Finance: Fintech's Impact on Financial Stability* (2022).

V. Novel Questions of Law

The speed of the wave has outrun its legal theory. This Part isolates seven questions that the GENIUS Act, the OCC’s 2026 rule, and the conditional approvals leave unresolved—several of them genuinely novel, and all of them now sharpened by the Supreme Court’s recent administrative-law decisions.

A. May a Predominantly Non-Fiduciary Firm Hold a “Trust” Charter?

The first and most basic question is whether the OCC may charter, as a national trust bank, a firm whose business is overwhelmingly non-fiduciary. Section 27(a) limits such a charter to “the operations of a trust company and activities related thereto.” The OCC’s February 2026 rule reads that phrase to permit any amount of non-fiduciary activity—custody, safekeeping, and, the agency intimates, stablecoin issuance—so long as some fiduciary capacity is also present.⁶⁵ The Conference of State Bank Supervisors put the objection pointedly: “Simply removing the word ‘fiduciary’ from the OCC’s regulation does not change the National Bank Act requirement that national trust companies must be engaged predominantly in fiduciary activities.”⁶⁶

The interpretive difficulty is real. The statute does not say “predominantly,” but the phrase “operations of a trust company” most naturally describes an institution whose *defining* business is fiduciary; a stablecoin issuer that conducts a nominal trust line to qualify is, on this reading, not engaged in “the operations of a trust company” at all, but in the operations of a payments company with a trust appendage.⁶⁷ The OCC’s contrary reading also raises an Administrative Procedure Act problem: the agency first announced the expansive interpretation through adjudicatory approvals

⁶⁵See 91 Fed. Reg. at 9979–81; *supra* Part III.C.

⁶⁶Conference of State Bank Supervisors, Comment Letter on Proposed National Bank Chartering Rule (2026), quoted in Reiners, *supra*.

⁶⁷The structural argument parallels the “business of banking” dispute: a charter “limited to” a kind of business cannot be satisfied by conducting a token amount of it while doing something else entirely. *Cf.* Menand & Ricks, *supra* (charter language construed against the corporation).

and interpretive guidance, and only later attempted to cure the procedural defect through a rule that, critics charge, still declines to define the permissible scope of non-fiduciary activity—reserving the question to case-by-case discretion.⁶⁸

B. Deference After Loper Bright and the Major-Questions Doctrine

Whatever force the OCC’s reading once had depended heavily on judicial deference. In 1995, the Supreme Court deferred to the Comptroller’s expansive construction of the “business of banking” under Chevron.⁶⁹ That foundation has shifted twice. First, in *Loper Bright Enterprises v. Raimondo*, the Court overruled Chevron and instructed courts to exercise independent judgment in interpreting statutes, deferring no longer to an agency merely because the statute is ambiguous.⁷⁰ A reviewing court asked whether “the operations of a trust company” permits a predominantly non-fiduciary bank must now answer that question for itself; the OCC’s say-so no longer carries the day.

Second, the major-questions doctrine supplies an independent obstacle. Under *West Virginia v. EPA*, an agency asserting authority over a matter of vast “economic and political significance” must point to clear congressional authorization.⁷¹ The proposition that the OCC may, by reinterpreting a single Reconstruction-era phrase, license a new category of federally chartered, uninsured, deposit-free “banks” to issue privately created dollar substitutes at national scale—reshaping the boundary between banking and commerce and between state and federal authority—has a strong claim to be a “major question.” The GENIUS Act complicates the analysis: by expressly contemplating an “uninsured national bank” stablecoin issuer, Congress may have

⁶⁸See Reiners, *supra* (arguing that the 2026 rule fails to define permissible non-fiduciary activities and “invit[es] precisely the kind of regulatory arbitrage banking law is supposed to prevent”). On the APA defect, see *id.*

⁶⁹*NationsBank v. VALIC*, 513 U.S. at 256–57.

⁷⁰*Loper Bright Enters. v. Raimondo*, 603 U.S. 369 (2024) (overruling *Chevron U.S.A. Inc. v. NRDC*, 467 U.S. 837 (1984)).

⁷¹*West Virginia v. EPA*, 597 U.S. 697, 721–24 (2022).

supplied the clear authorization the doctrine demands—but only for stablecoin issuance, and arguably only through whatever charter is otherwise lawful, leaving the trust-charter theory exposed.⁷²

C. Is a Nondepository Stablecoin Issuer in the “Business of Banking”?

The deposit question that the Second Circuit dodged in 2021 returns with a vengeance. If “the business of banking” requires deposit-taking—as Judge Marrero held—then a charter for a nondepository stablecoin issuer is vulnerable unless the issuer’s activity is itself “banking.” Here the GENIUS Act cuts both ways. On one hand, the Act provides that a payment stablecoin is not a “deposit,” which the OCC can wield to argue that stablecoin issuance is not deposit-taking and therefore raises none of the dual-banking concerns that animated the *Vullo/Lacewell* litigation.⁷³ On the other hand, the exclusion is a fragile foundation: a redeemable, par-valued, demandable claim on an issuer is, functionally, a deposit, whatever the statute labels it, and a substantial body of scholarship treats stablecoins as deposits or shadow-bank money in all but name.⁷⁴

The OCC’s affirmative theory—that issuing and redeeming a stablecoin is the modern equivalent of “paying checks,” one of the three core banking functions in 12 C.F.R. § 5.20(e)(1)—has a certain logic, drawing on the Uniform Commercial Code’s definition of a check as “an order to pay money” and on the agency’s earlier analogies between stablecoins and electronic payments.⁷⁵ But “paying checks” as a core banking function has always presupposed an account

⁷²This is the crux of the argument in Klaros Group, *supra*, that GENIUS is best read to authorize a distinct “national payments bank,” not to validate the use of the *trust* charter for predominantly non-fiduciary stablecoin business. *See infra* Part VI.

⁷³*See* 12 U.S.C. § 5901(22)(B)(ii) (a payment stablecoin does not include an instrument that is a “deposit”); *supra* Part III.A.

⁷⁴*See* Wilmarth, *supra* (stablecoins as deposits); Gorton & Zhang, *supra* (stablecoins as private banknotes); Dan Awrey, *Bad Money*, 106 Cornell L. Rev. 1 (2020) (mapping the instability of nonbank monetary liabilities); James McAndrews & Lev Menand, *Shadow Digital Money* (2020).

⁷⁵*See* Klaros Group, *supra* (developing the “paying checks” theory); U.C.C. § 3-104; OCC Interpretive Letter No. 1174, *supra*.

against which checks are drawn—that is, a deposit. To treat stablecoin issuance as “paying checks” while simultaneously insisting the underlying balances are not deposits is to embrace both halves of a contradiction. The deeper point, made by Menand and Ricks, is that the corporate-powers clause is not a roving license to recharacterize novel businesses as “banking”; it is charter language, to be read against the chartered entity.⁷⁶

D. The Master-Account Gap and the Half-Built Charter

A national bank charter is conventionally understood to come with access to the Federal Reserve’s payment system. For uninsured trust banks, that understanding is now false. In *Custodia Bank v. Federal Reserve*, the Tenth Circuit held that the Federal Reserve Act and the Monetary Control Act grant Reserve Banks discretion to grant or deny master-account applications from eligible institutions; the court affirmed summary judgment against Custodia, a Wyoming special-purpose depository institution, and the full court denied rehearing en banc by a 7–3 vote in March 2026, with a certiorari petition in prospect.⁷⁷ Professor Julie Andersen Hill’s study of the master-account process documents how opaque and discretionary that gateway has become, with applications from a crypto custody bank and a trust company languishing for years.⁷⁸

The doctrinal upshot is a charter that may be, in operational terms, half-built. A trust bank without a master account cannot settle in central-bank money; it must hold its balances at, and clear through, a correspondent that does have an account—reintroducing exactly the counterparty

⁷⁶Menand & Ricks, *supra*, 88 U. Chi. L. Rev. at 1364–70, 1420–30.

⁷⁷*Custodia Bank, Inc. v. Federal Reserve Bd. of Governors*, No. 24-8024 (10th Cir. Oct. 31, 2025), reh’g en banc denied (Mar. 13, 2026) (7–3); *see also Custodia Bank, Inc. v. Federal Reserve Bank of Kansas City*, No. 1:22-cv-00125 (D. Wyo. 2024) (granting summary judgment for the Federal Reserve); Davis Polk & Wardwell LLP, *District Courts Refuse to Order Federal Reserve to Grant Master Accounts to Custodia and PayServices* (2024), <https://www.davispolk.com/insights/client-update/district-courts-refuse-order-federal-reserve-grant-master-accounts-custodia>.

⁷⁸Hill, *Opening a Federal Reserve Account, supra* (describing delayed and unexplained decisions on account requests, including from a cryptocurrency custody bank and a trust company).

and concentration risks (recall Circle’s exposure to Silicon Valley Bank) that a federal charter was supposed to mitigate. The novel legal question is whether the GENIUS Act, by inviting uninsured national banks to issue stablecoins, implicitly entitles them to the settlement access that issuance presupposes—or whether Congress created a right to issue private dollars without a corresponding right to settle them in public ones. Nothing in the Act answers the question, and *Custodia* suggests the Reserve Banks retain discretion to say no.⁷⁹

E. Resolution, Receivership, and the Myth of Stablecoin Super-Priority

Perhaps the least-examined question is what happens when a stablecoin trust bank fails. Two features make this acute. First, the OCC has not placed a national bank into receivership and wound it down outside the FDIC framework in living memory; its receivership regulations for uninsured banks are antiquated and untested, and the FDIC’s flexible resolution toolkit does not straightforwardly apply to an uninsured institution.⁸⁰ Second, the GENIUS Act’s much-touted protection for stablecoin holders is weaker than advertised. The Act provides that reserve assets are not property of the issuer’s estate and gives holders priority in the reserves; but Professor Adam Levitin has shown that, once one accounts for the claims that come ahead of holders—repo and margin counterparties, debtor-in-possession financing and its carve-outs, professional fees, and setoff rights—stablecoin holders may rank as low as fifth in practice.⁸¹

The conflicts multiply when the issuer custodies its own reserves—as several of the new trust banks contemplate—because no independent third party then polices the segregation of

⁷⁹The tension is acute: a payments charter whose holder cannot reach the payment system is, at best, incomplete. See *infra* Part VI (proposing conditioned master-account access as part of a coherent charter).

⁸⁰See Reiners, *supra* (noting that the OCC has not resolved a failed national bank since the FDIC’s creation in 1933 and that its receivership rules lack the FDIC’s statutory flexibility).

⁸¹Levitin, *Sorry to Break It to You Geniuses*, *supra*; see also Adam J. Levitin, *The GENIUS Act: Insolvency Risk with Stablecoins*, Credit Slips (Mar. 2, 2025), <https://creditslips.org/2025/03/02/the-genius-act-insolvency-risk-with-stablecoins/>.

customer assets from the issuer’s own, raising the risk of self-dealing and commingling that fiduciary law ordinarily forbids.⁸² The result is a novel and unwelcome puzzle: an uninsured federal bank, possibly self-custodying tens of billions in reserves, subject to a resolution regime that has never been used, issuing liabilities whose holders enjoy a priority that may evaporate in practice. The absence of a tested resolution path is not a technicality; it is the difference between an orderly failure and a disorderly run.

F. Federalism, Preemption, and the \$10 Billion Cliff

The wave reopens the oldest fault line in American banking law: the dual banking system. By offering a single federal license in place of state-by-state regulation, the trust charter draws the largest digital-asset firms into the federal system and out of the states’ reach, and the GENIUS Act’s \$10 billion threshold accelerates the migration by compelling successful state-qualified issuers to federalize.⁸³ For state regulators, this is not merely a turf concern. Trust law is quintessentially state law; the fiduciary duties that define a “trust company” are creatures of state codes and common law. A federal charter that preempts state oversight while professing to authorize “trust” activities sits uneasily with the state-law character of the very activities it purports to federalize.⁸⁴

A neglected corollary deepens the puzzle. The GENIUS Act regulates payment stablecoins issued by a “person,” a term it limits to business entities; by its terms it does not reach a stablecoin issued by a State itself. Wyoming has already exploited the gap: in August 2025 it launched the

⁸²See Reiners, *supra* (self-custody of reserves creates “greater risk of self-dealing”); cf. 12 C.F.R. § 9.13 (segregation of fiduciary assets).

⁸³See *supra* Part III.A; GENIUS Act § 4. State regulators have framed the OCC’s rule as an unlawful encroachment on the dual banking system. See CSBS Comment Letter, *supra*.

⁸⁴On the structure of federal preemption in banking and its limits, see *Cuomo v. Clearing House Ass’n*, 557 U.S. 519 (2009); *Watters v. Wachovia Bank, N.A.*, 550 U.S. 1 (2007); and, on the broader stakes, Conti-Brown & Vanatta, *supra*.

Frontier Stable Token (FRNT), the first fully-reserved stablecoin issued by a U.S. public instrumentality, backed one-to-one by cash and short-dated Treasuries held by an independent custodian and redeemable at par.⁸⁵ The result is a three-track regime—federally chartered private issuers, state-qualified private issuers, and state public issuers outside GENIUS altogether—operating side by side with no common prudential floor. That the safest-looking issuer in the set (a fully-reserved, independently-custodied state token) is the one Congress did not reach, while the thinly-capitalized private trust bank is the one it blessed, is a telling inversion.

G. Capture, Conflicts, and the World Liberty Problem

Finally, the wave has produced an institutional-integrity question without modern precedent. Among the applicants for a national trust charter is World Liberty Financial, a crypto venture whose founders include the sitting President and his family and which issues its own stablecoin.⁸⁶ The application places the Comptroller in an extraordinary position: approval invites the charge that the federal bank-chartering process has been bent to the personal financial benefit of the President who appointed him, while denial invites the charge of political retaliation. Senator Warren warned that the Comptroller risked becoming “an accomplice” to corruption; the

⁸⁵On the state-issuer exclusion, see *Wyoming Launches First State-Issued Stable Token*, Nat’l L. Rev. (Aug. 2025), <https://natlawreview.com/article/wyoming-launches-first-state-issued-stable-token> (state governments fall outside the GENIUS Act’s definition of a “person,” so the federal permitted-issuer requirements do not reach a State-issued stablecoin); Morgan, Lewis & Bockius LLP, *The GENIUS Act’s Stablecoin Regulatory Scheme Promotes Uniformity but May Fall Short* (Sept. 2025), <https://www.morganlewis.com/pubs/2025/09/the-genius-acts-stablecoin-regulatory-scheme-promotes-uniformity-but-may-fall-short>. On FRNT’s structure, see Wyo. Stable Token Comm’n, *Examination of Management Assertions over Frontier Stable Token (FRNT)* (as of Jan. 30, 2026); Wyo. Stat. Ann. §§ 40-31-106 to -107.

⁸⁶See *Warren Grills Gould over World Liberty Charter Application*, Banking Dive (2026), <https://www.bankingdive.com/news/warren-gould-occ-world-liberty-charter-application/813335/>; see also Statement of Sen. Elizabeth Warren, Ranking Member, S. Comm. on Banking, Hous. & Urb. Affairs (2026), <https://www.banking.senate.gov/newsroom/minority/warren-statement-on-occs-proceeding-with-review-of-bank-charter-application-submitted-by-trumps-crypto-company-world-liberty-financial>.

Comptroller responded that the only political pressure he had felt came from Democratic senators.⁸⁷

Whatever one's priors, the episode exposes a structural gap: the chartering statutes contain no mechanism—no recusal rule, no independent review, no heightened-scrutiny trigger—for an application in which the chartering authority's appointing officer holds a direct financial stake. As one senator framed it, the question is “whether our bank-chartering process is resilient to political and geopolitical pressure.”⁸⁸ That is a question of law as much as politics: it asks whether the discretionary, lightly reviewable chartering power—exercised by a single removable officer—is institutionally adequate to the stakes the GENIUS era has placed upon it.

H. The Strongest Case for the Status Quo

Fairness requires stating the strongest case for the OCC's course—because parts of it are right. The most powerful defense turns the capital critique on its head. A fully-reserved, non-lending issuer bears no credit risk on its assets and cannot suffer the asset-side losses that felled fractional-reserve banks from the Free Banking era to Silicon Valley Bank. If its reserves are high-quality, liquid, and segregated, such an institution is arguably *safer* than an insured bank, and conventional risk-based capital is indeed the wrong yardstick.⁸⁹ On this view, the OCC is doing

⁸⁷See *OCC Won't Delay World Liberty Financial Charter Review*, Am. Banker (2026), <https://www.americanbanker.com/news/occ-wont-delay-world-liberty-financial-charter-review>; *OCC Chief Says Democrats Applying Sole Political Pressure in World Liberty Charter Choice*, CoinDesk (June 4, 2026), <https://www.coindesk.com/policy/2026/06/04/occ-chief-says-democrats-applying-sole-political-pressure-in-world-liberty-charter-choice>; see also *Trump-Backed World Liberty Financial Nears OCC Approval*, The Block (2026), <https://www.theblock.co/post/405022/world-liberty-financial-nears-occ-approval> (reporting that former OCC staff viewed rejection as “inconceivable”).

⁸⁸Warren Statement, *supra*. The conflict is not hypothetical; it bears directly on the legitimacy of the entire wave, because a chartering process perceived as politically captured cannot perform the gatekeeping function the public-trust theory of the charter assumes.

⁸⁹This is the narrow-banking intuition: a fully-reserved issuer cannot fail through asset-side losses. See George Pennacchi, *Narrow Banking*, 4 Ann. Rev. Fin. Econ. 141 (2012); Ricks, *The Money Problem*, *supra*; Awrey, *Beyond Banks*, *supra*; see also Morgan Ricks, John Crawford & Lev Menand, *FedAccounts: Digital Dollars*, 89 Geo. Wash. L. Rev. 113 (2021).

what a sensible regulator should: pulling dollar-pegged token issuance out of the lightly-supervised shadows and into a federally chartered, examined, BSA/AML-compliant perimeter, under the GENIUS Act’s one-to-one reserve and disclosure mandates. The uniformity gains are real too—one federal license is plainly superior, for an issuer operating nationally, to qualifying under fifty state money-transmitter regimes—and the entry of incumbents such as BNY, State Street, and Morgan Stanley means the field will not be left to thinly-capitalized crypto-natives alone.

Each of these defenses, however, assumes facts the current framework does not guarantee. The narrow-bank safety case holds only if reserves are genuinely high-quality, genuinely segregated, and genuinely beyond the issuer’s reach in insolvency—yet the OCC permits self-custody, the GENIUS priority waterfall is leaky, and capital is set without regard to the size of the float. The “bringing crypto inside the perimeter” case holds only if the perimeter is real—yet the charter as built lacks a tested resolution regime and guaranteed settlement access. And the uniformity case holds only if the federal standard is coherent—yet the 2026 rule supplies no limiting principle. The lesson is not that the OCC’s instinct is wrong, but that it has been pursued through the wrong instrument. The remedy, developed next, is to make the safety case true by construction rather than by hope.

VI. A Proposal: The National Payments and Custody Institution

The defects catalogued in Part V share a common source: the OCC has tried to pour a new kind of institution into an old and ill-fitting vessel. The trust charter was built for fiduciaries, not for issuers of private money; pressing stablecoin issuers and digital-asset custodians into it produces definitional strain (Part V.A–C), an operational gap (Part V.D), a resolution void (Part V.E), a federalism conflict (Part V.F), and an integrity problem (Part V.G). The cure is not to abolish the on-ramp but to build a proper one. This Part proposes a purpose-built charter—the National Payments and Custody Institution (NPCI)—together with interim administrative fixes the OCC and Federal Reserve could adopt now.

A. The Core Proposal: A Statutory Charter Fit for Purpose

Congress should authorize, by statute, a National Payments and Custody Institution: a federally chartered, uninsured, nondepository institution whose permissible activities are payment-stablecoin issuance, digital- and traditional-asset custody, settlement, and genuinely related services—and nothing else. Several scholars and commentators have urged a version of this idea, variously labeled a “national payments bank” or a narrow, fully reserved money issuer; the proposal here synthesizes those strands and adds the prudential and structural features the GENIUS-era wave has shown to be necessary.⁹⁰ The NPCI would replace the present expedient of stretching § 27(a), and would render the contested 2026 rule unnecessary.

The charter would have six defining features:

1. *Activities limited by statute, not by interpretation.* The permissible activities would be enumerated in the organic statute, eliminating the “how much non-fiduciary activity is too much”

⁹⁰See Klaros Group, *supra* (national payments bank); Ricks, *The Money Problem*, *supra* (narrow, fully reserved issuers); cf. Dan Awrey, *Beyond Banks: Technology, Regulation, and the Future of Money* (2024) (arguing for a modernized chartering and access framework for nonbank money issuers).

problem that plagues the trust-charter theory and supplying the clear congressional authorization that the major-questions doctrine now demands.

2. *Full reserve backing, segregation, and independent custody.* Outstanding stablecoins would be backed one-to-one by high-quality liquid assets, legally segregated from the issuer's own assets, and—critically—held by an *independent* qualified custodian rather than self-custodied, closing the self-dealing gap identified in Part V.E.

3. *Capital calibrated to operational and run risk.* Because the institution bears little credit risk but substantial operational and liquidity risk, capital should be set as the greater of a meaningful floor and a percentage of outstanding liabilities, supplemented by a liquidity buffer—replacing the token \$6.05 million figure with a number that scales with the franchise.

4. *Conditioned access to central-bank settlement.* The statute should grant the NPCI access to a Federal Reserve master account on defined, supervised conditions—resolving the half-built-charter problem of Part V.D—while authorizing the Federal Reserve to impose tailored conditions (reserve requirements, balance caps, operational standards) commensurate with the institution's risk and the discretion *Custodia* preserved.

5. *A defined resolution regime.* The statute should specify a bespoke resolution path—whether a tailored FDIC bridge mechanism for uninsured payment institutions or a specialized OCC receivership with the FDIC's flexibilities—that guarantees stablecoin holders genuine, not merely nominal, first-priority access to segregated reserves, curing the priority-waterfall defect Levitin identified.

6. *Structural integrity safeguards.* The statute should require recusal and independent review where the chartering authority's appointing officer or other covered official holds a

financial interest in an applicant, and should subject NPCI charters to a defined period of heightened, on-the-record scrutiny—directly addressing the World Liberty problem of Part V.G.

Two design questions determine whether the NPCI is genuine reform or mere relabeling. The first is its relationship to the GENIUS Act’s existing architecture. GENIUS already authorizes an “uninsured national bank” to issue payment stablecoins as a “Federal qualified payment stablecoin issuer”; what it does not do is say *which* charter that bank should hold. The NPCI answers that question directly. Rather than leaving the OCC to improvise a charter out of § 27(a)’s trust authority, Congress should define the GENIUS federal channel *as* the NPCI charter—giving statutory content to a category the Act presupposes but leaves empty. The NPCI is thus not a fourth track bolted onto the system; it is the missing specification of the federal track GENIUS already created.⁹¹

The second question is transition. The five charters conditionally approved in December 2025—and the cascade behind them—cannot simply be voided without inviting reliance and due-process objections. The better course is a conform-or-convert window: existing conditional approvals would be grandfathered for a fixed period (say, eighteen to twenty-four months), during which each institution must either satisfy the NPCI standards—independent reserve custody, liabilities-scaled capital, a filed resolution plan, and conditioned settlement access—or wind its stablecoin and custody lines down to genuine trust activity. That sequencing preserves the innovation the OCC sought to encourage while supplying the prudential floor it omitted.

The design is not hypothetical. Wyoming’s Frontier Stable Token already operates on most of these principles: its reserves are limited by statute to cash and short-dated Treasuries, held by

⁹¹See 12 U.S.C. § 5901(11) (defining “Federal qualified payment stablecoin issuer” to include an uninsured national bank); *supra* Part III.A. Klaros Group reaches a parallel conclusion in arguing that GENIUS is best read to contemplate a distinct “national payments bank.” See Klaros Group, *supra*.

an independent custodian (with BNY as sub-custodian), segregated in trust for token holders, and redeemable one-for-one on demand—precisely the features the NPCI would require and precisely the features the OCC’s trust-bank framework leaves optional.⁹²

B. Interim Administrative Measures

Pending legislation, the OCC and the Federal Reserve could mitigate the worst defects within existing authority. The OCC could, by rule, impose a bright-line fiduciary-predominance test on trust charters (or, more candidly, acknowledge that stablecoin issuance belongs in a separate charter); require independent reserve custody and meaningful, liabilities-scaled capital as conditions of approval; and adopt a modernized receivership rule for uninsured national banks before, rather than after, the first failure. The Federal Reserve could publish objective, reviewable master-account standards of the sort Professor Hill has urged, replacing opaque discretion with transparent criteria.⁹³

None of this requires hostility to digital-asset innovation. A well-designed payments-and-custody charter would give responsible issuers and custodians the regulatory certainty and nationwide reach they seek, while giving the public a stability, resolution, and integrity framework the trust charter cannot supply. The choice is not between innovation and prudence; it is between a charter built for the purpose and a charter pressed into a service it was never designed to perform.

C. The Alternative: Revocation

If Congress does not act and the courts ultimately conclude that the trust-charter theory exceeds the OCC’s authority, a future administration would face the question whether to revoke

⁹²See Wyo. Stable Token Comm’n, *supra*; *supra* Table 2 & Part V.F. The contrast is instructive: a state public issuer subject to no federal prudential mandate has voluntarily adopted independent custody and statutory reserve limits, while federally chartered private issuers are permitted to self-custody under tailored, individualized conditions.

⁹³See Hill, *Opening a Federal Reserve Account*, *supra* (urging transparent, consistent account-access standards); *supra* Part V.D–E.

charters granted on an unlawful basis. At least one prominent commentator has argued that revocation in that circumstance would be not radical but faithful to the statute.⁹⁴ The better course, and the one this Article urges, is to make revocation unnecessary by enacting a charter that is lawful, coherent, and fit for purpose before the next crisis forces the issue.

⁹⁴Reiners, *supra* (arguing that a future administration should revoke charters granted in violation of federal law).

Conclusion

The national trust charter’s transformation from banking-law backwater to the most coveted license in American finance is one of the fastest regulatory migrations in recent memory. In a single season, a charter designed for custodians and wealth managers became the vehicle of choice for stablecoin issuers and digital-asset firms, propelled by the GENIUS Act and a willing Comptroller. The new entrants differ from their competitors not in degree but in kind: uninsured, deposit-free, lend-free, often unable to reach the payment system as of right, and capitalized at a small fraction of the dollar liabilities they stand behind. They are, on every conventional metric, smaller—yet their potential systemic footprint, through the run-prone float they back, may be larger than their balance sheets suggest.

The wave has outrun its law. Whether a predominantly non-fiduciary firm may hold a “trust” charter; whether issuing private dollars is the “business of banking” after *Loper Bright* and the major-questions doctrine; what a charter is worth without settlement access; how a failed stablecoin bank is wound down; and whether the chartering process can withstand the conflicts the moment has produced—these are not academic puzzles but live questions on which the stability and legitimacy of a new monetary infrastructure depend. The trust charter cannot answer them. A purpose-built National Payments and Custody Institution charter—statutorily bounded, fully reserved, properly capitalized, connected to central-bank settlement on defined terms, equipped with a real resolution regime, and insulated from conflicts—can. The task for Congress is to build the proper vessel before the improvised one is tested by a failure it was never designed to survive.